

Patents



Patents grant exclusive rights over use of new technologies to their inventors. Economists normally think of such monopolistic situations as a bad thing because they lead to higher prices for consumers. The economic rationale for patents, however, arises from the fact that inventions have large 'spill-over' effects. Suppose that a firm invents a new kind of packaging to keep food fresher. Knowledge about this becomes available to other firms and they soon start to use similar packaging. The original invention creates benefits that spill over to other firms, and the benefit of the packaging to society as a whole is larger than the benefit accrued to the firm that invented it. The implication is that without encouragement, too few new inventions will be made relative to the high potential social gains. By making new inventions the property of their inventors, patents provide strong incentives for firms to invent new technologies. If

competing firms want to use the technology immediately, they must pay the inventor, but after a certain period, the invention can be freely used.